CLASS 10 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 19: **Money and Credit (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. If a bank's deposits are Rs 20 crore and it keeps 15 per cent as cash, the amount it can lend is: 1

(a) Rs 3 crore **(b)** Rs 20 crore **(c)** Rs 15 crore **(d)** Rs 17 crore

2. Which of these is true about the Reserve Bank of India? 1

(a) It lends to every villager **(b)** It charges interest from depositors

(c) It supervises banks and issues notes **(d)** It sets prices of rice

3. Assertion (A): Barter is difficult in a large economy. Reason (R): Barter requires a double coincidence of wants. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

4. Assertion (A): Grameen Bank is a success story in rural credit. Reason (R): It lends to the poor without collateral and has good repayment. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

5. Assertion (A): Informal sources of credit are supervised by the RBI. Reason (R): Moneylenders often charge very high interest. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

6. Assertion (A): Collateral is demanded by lenders. Reason (R): It is a guarantee that the loan will be repaid. 1

(a) Both A and R are true and R is the correct explanation of A.

(b) Both A and R are true but R is not the correct explanation of A.

(c) A is true but R is false.

(d) A is false but R is true.

7. Which of these would be the most affordable credit to a small farmer? 1

(a) a moneylender loan at high interest **(b)** landlord's loan

(c) trader's advance **(d)** a bank loan at low interest

8. Assertion (A): Money is accepted as a medium of exchange. Reason (R): It is authorised by the government of the country. 1

(a) Both A and R are true and R is the correct explanation of A.
(b) Both A and R are true but R is not the correct explanation of A.
(c) A is true but R is false.
(d) A is false but R is true.

9. A bank rejects a loan to a person who has no collateral. The lender is trying to: 1

(a) stop all loans **(b)** encourage barter
(c) increase interest **(d)** reduce risk

10. Why can't the poor offer formal collateral easily? 1

(a) they own very few assets **(b)** collateral is illegal
(c) banks give it **(d)** collateral is free

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. Why is cash alone not enough for modern transactions? 2

12. How does collateral reduce lender's risk? 2

13. What is the importance of savings for SHG members? 2

14. Why is RBI supervision important for depositors? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how the rate of interest affects savers and borrowers. 3

16. Why do traders and employers provide credit? 3

17. Why should loans be productive? 3

OR

Evaluate the role of credit in increasing production. 3

18. Why does the RBI want banks to lend to the small borrower? 3

OR

Why does the rupee's legal tender status not make cheques legal tender? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Discuss the benefits and risks of informal credit. 5

OR

Why is access to affordable credit a key concern for development? 5

20. Explain modern forms of money and their role in exchange. 5

OR

Examine the case for expanding formal sector credit in rural India. 5

END OF QUESTION PAPER — Total: 40 Marks

INTERMIND